CHAPTER SEVENTEEN

TAJ

The Legacy

Established in 1899 by Jamsetji Tata, the Indian Hotels Company Limited (IHCL) opened its first venture, the Taj Mahal Palace Hotel, in Bombay in 1903. It also ran the adjacent Green's Mansions, bought from a British grocer, as a restaurant-cum-lodging until 1965. But for over half a century, the company grew at a snail's pace. It was only after Ajit Kerkar took over its reins in the 1960s that IHCL witnessed an increase in its pace of growth. His tenure at the helm was, however, a mixed bag for the group.

Kerkar ushered in many changes, but some of them ironically hurt the company's reputation. For instance, he grouped all the hotels under the banner of the Taj Group of Hotels, irrespective of the nature of their offerings and the different clientele they served. Consequently, this led to disappointment in customers who stayed in the lower categories but expected the services that the Taj brand had become famous for. A segmentation was, however, made in 1994 when the hotels were divided into three categories: luxury, leisure and business. But it yielded little dividend.

While both business and luxury hotels catered to business travellers, the leisure segment included four sub-categories—palaces, garden resorts, beach resorts and cultural centre hotels. But all of them continued to be under one omnibus tag (Taj Group of Hotels). This had some serious drawbacks. It fell upon Ratan to make some far-reaching changes in the positioning of the hotels after Kerkar left in 1997.

The need for change was also compelling as Kerkar's blistering pace of growth of Indian Hotels begot several problems; in no small part because the management was virtually personality-driven. It acutely lacked the